VARIANCE ANALYSIS REPORT

Cost Management Plan — Project 2

PineCraft Furniture Co.

Cost Object: Custom Oak Dining Table

Board of Directors Presentation

Flexible Budget: Overview & Purpose

What Is It?

A flexible budget adjusts the static plan to reflect actual volume produced and sold.

Instead of comparing actuals to a plan built at 950 units, we rebuild the budget at the 1,000 units actually produced — using the same standard prices and rates.

This gives management a fair, apples-to-apples comparison.

How Was It Prepared?

Step 1 — Identify standards per unit:

- Material: 4 bd-ft @ $25.00
- Labor: 5 hrs @ $40.00/hr
- Variable OH: $21.05/labor hr

Step 2 — Multiply each standard by actual volume (1,000 units).

Step 3 — Compare actuals to the flexible budget and static budget.

Why Does It Matter?

It isolates two distinct effects:

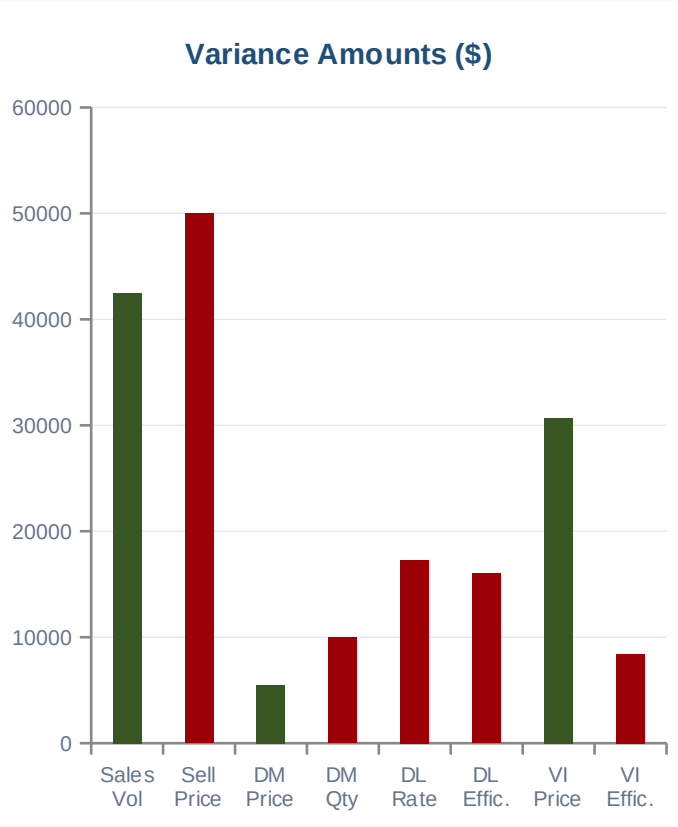
- Spending / Price Effect — did we pay more or less per unit than standard?

- Volume / Activity Effect — did we sell more or fewer units than planned?

Without a flexible budget, favorable volume effects can mask unfavorable spending — or vice versa.

Variance Summary — All 8 Variances

Variance	Amount	F/U	Key Driver
Sales Volume	$42,500	F	Sold 50 more units than budgeted
Selling Price	$50,000	U	Price dropped $50/unit vs. budget
DM Price	$5,500	F	Lumber purchased $1.25 below standard
DM Quantity	$10,000	U	Used 0.4 extra bd-ft per unit
DL Rate	$17,280	U	Paid $3.20/hr above standard wage
DL Efficiency (Wage)	$16,000	U	Used 0.4 extra hours per unit
Var. Indirect Price	$30,684	F	OH spending well below expected
Var. Efficiency	$8,421	U	Excess labor hours drove extra OH



Sales Volume Variance | $42,500 Favorable

FAVORABLE

$42,500

ACTUAL

1,000

units sold

BUDGET / STANDARD

950

units budgeted

CAUSES — Custom Oak Dining Table

- Sold 50 more dining tables than budgeted — a 5.3% volume increase.
- Likely driven by stronger seasonal demand, new retail/wholesale accounts, or promotional efforts.
- Higher volume is positive but created downstream labor and material cost pressures that compressed margins.

NEXT STEPS

- Identify what drove the extra 50 units — if tied to specific accounts or campaigns, replicate the strategy.
- Update the production and capacity plan to budget 1,000+ units; schedule labor and material procurement accordingly.
- Monitor whether volume growth can be sustained without requiring additional price discounting.

Selling Price Variance | $50,000 Unfavorable

UNFAVORABLE

$50,000

ACTUAL

$800

actual price/unit

BUDGET / STANDARD

$850

budgeted price/unit

CAUSES — Custom Oak Dining Table

- Charged $50 less per table than the budgeted price of $850 — a 5.9% price reduction.
- May reflect competitive pricing pressure in the custom furniture market, or promotional discounts used to drive higher volume.
- The price reduction nearly erased the $42,500 favorable volume benefit, resulting in a net revenue shortfall of $7,500.

NEXT STEPS

- Conduct a pricing review — determine whether discounts were truly necessary to win sales, or if they can be reduced.
- Explore value-added offerings (customization, delivery upgrades) that justify the $850 standard price.
- If price reductions are structural, revise the budget price and adjust margin targets for next year.

Direct Materials Price Variance | $5,500 Favorable

FAVORABLE

$5,500

ACTUAL

$23.75

actual cost/bd-ft

BUDGET / STANDARD

$25.00

standard cost/bd-ft

CAUSES — Custom Oak Dining Table

- Purchased oak lumber at $23.75 per board-foot — $1.25 below the $25.00 standard price.
- Likely the result of a bulk-purchase discount, favorable lumber market timing, or a new supplier agreement.
- Lower prices did not appear to compromise table quality, though this should be confirmed against defect rates.

NEXT STEPS

- Negotiate a long-term supply contract to lock in favorable rates and protect against lumber price volatility.
- Verify that lower-cost material meets quality standards — track finished-table defect rates vs. prior periods.
- Update the standard material price in next year's budget to reflect the expected market rate.

Direct Materials Quantity Variance | $10,000 Unfavorable

UNFAVORABLE

$10,000

ACTUAL

4.4

actual bd-ft/unit

BUDGET / STANDARD

4.0

standard bd-ft/unit

CAUSES — Custom Oak Dining Table

- Used 0.4 extra board-feet of oak per table — 10% more material than the standard recipe card allows.
- Higher production volume may have led to sub-optimal cuts and increased scrap, especially at higher throughput pace.
- Possible connection to lower material cost — slightly lower-grade lumber may have carried higher defect or waste rates.

NEXT STEPS

- Audit cutting patterns and scrap rates on the shop floor; implement lean waste-reduction practices.
- Train production staff on optimizing wood yield per unit, especially when handling elevated order volumes.
- Investigate whether lower-priced lumber increased waste — if so, weigh the savings against the quantity inefficiency.

Direct Labor Rate Variance | $17,280 Unfavorable

UNFAVORABLE

$17,280

ACTUAL

$43.20

actual wage rate/hr

BUDGET / STANDARD

$40.00

standard wage rate/hr

CAUSES — Custom Oak Dining Table

- Paid $3.20 more per hour than the standard rate — an 8% wage premium across 5,400 total labor hours.
- The most likely cause is overtime pay required to meet the higher-than-budgeted production volume of 1,000 units.
- Could also reflect a wage adjustment, use of higher-skilled craftspeople, or changes in the labor agreement.

NEXT STEPS

- Review overtime scheduling — implement production leveling to reduce reliance on overtime for routine volume spikes.
- Cross-train additional workers at the standard wage rate so overtime is reserved for true surge scenarios only.
- If the rate increase reflects a new wage agreement, revise the standard rate in next year's budget.

Direct Labor Efficiency (Wage) Variance | $16,000 Unfavorable

UNFAVORABLE

$16,000

ACTUAL

5.4

actual hrs/unit

BUDGET / STANDARD

5.0

standard hrs/unit

CAUSES — Custom Oak Dining Table

- Took 0.4 more labor hours per table than the standard — 400 extra hours total across 1,000 units.
- Higher production pace from unexpected volume likely created workflow bottlenecks and increased setup time per unit.
- Overtime and newer workers tend to work more slowly, compounding the rate variance impact.

NEXT STEPS

- Review the production workflow for bottlenecks; streamline assembly steps to reduce hours per unit toward standard.
- Provide targeted training for workers tracking above 5.0 hours per unit, focusing on highest-variance tasks.
- Set a weekly hours-per-unit KPI target; aim to return to 5.0 hrs/unit by Q2 of next year.

Variable Indirect Price Variance | $30,684 Favorable

FAVORABLE

$30,684

ACTUAL

$83,000

actual OH spending

BUDGET / STANDARD

$113,684

applied at AH @ BPOHR

CAUSES — Custom Oak Dining Table

- Actual variable overhead spending of $83,000 was $30,684 below the expected amount given actual labor hours worked.
- Likely reflects genuine savings — lower utility costs, reduced supply usage, or improved indirect process efficiency.
- This is the largest favorable variance in the analysis and significantly offsets unfavorable labor and materials results.

NEXT STEPS

- Identify the specific overhead activities that drove savings — utilities, maintenance, supplies, or other controllable items.
- Standardize cost-saving practices that produced results (e.g., energy management, procurement improvements).
- If savings are structural rather than one-time, update the overhead budget rate (POHR) to reflect the new expected level.

Variable Efficiency Variance | $8,421 Unfavorable

UNFAVORABLE

$8,421

ACTUAL

5,400

actual allocation hrs

BUDGET / STANDARD

5,000

standard allocation hrs

CAUSES — Custom Oak Dining Table

- Because 400 more labor hours were worked than standard, variable overhead was absorbed over 400 extra allocation hours.
- Variable overhead is allocated per direct labor hour — more hours consumed means more overhead charged to production.
- This variance shares the same root cause as the DL Efficiency Variance: 0.4 extra hours worked per table.

NEXT STEPS

- The primary fix is the same as DL Efficiency — reduce hours per unit through training and process improvements.
- As direct labor efficiency returns to the 5.0 hr/unit standard, this variance will automatically correct.
- Evaluate whether direct labor hours remain the best allocation base for variable overhead, or if machine hours better reflect consumption.

Summary & Strategic Action Plan

Actual Operating Income	Budgeted Operating Income	Total OI Shortfall
$214,220	$272,500	$58,280 U

Immediate — Q1

- Audit overtime; target standard $40/hr rate
- Inspect material scrap rates on shop floor
- Document specific overhead cost savings drivers

Revenue Focus

- Analyze what drove +50 units sold
- Develop volume-sustaining sales strategy
- Evaluate price vs. volume trade-off

Short-Term — Q2–Q3

- Labor training: return to 5.0 hrs/unit target
- Lock in lumber supply contract at favorable rate
- Conduct full pricing strategy review

Budget Revisions

- Update standard wage rate to ~$43/hr
- Revise POHR based on actual overhead spending
- Adjust standard hours if 5.2–5.4 is the new norm